

because of their lack of financial knowledge and experience. This tends to result in young adults having a difficult time dealing with personal finance and consequently making unwise money decisions. In fact, 75 percent of students admitted to having made mistakes with their money when they arrived on campus, according to the 2006 KeyBank poll.

Ignorance is only part of the problem. College graduates in particular face special challenges because a time lag often occurs in finding employment. Six months after you have received your diploma, you are obligated to start repaying your student loans. This monthly amount is often significant since college graduates today borrow heavily to finance their college educations. Adding to student loan debt is the additional money a student may owe from credit card usage. A recent survey by Sallie Mae found that half of college students accumulated more than \$5,000 in credit card debt while in school. And one-third of the thirteen thousand respondents had piled on more than \$10,000 in credit card debt while in college.

Despite these debt realities, most young adults seem unconcerned about their ability to repay their debt obligations. This may be due to a sense of optimism. The Schwab survey revealed that nearly three-quarters of teens polled believed they would be earning “plenty of money” when they’re out on their own. In fact, they expected to be earning an average annual salary of \$145,500. In reality, only 5 percent of the U.S. population currently earns a six-figure income. And the average national wage is only \$40,000.

Without the skills to handle their finances on their own or sufficient income to deal with their debt obligations, many young adults eventually fail to make their payments on time or at all. The free lodging, food, and services they receive at home suddenly become very appealing. In other cases, many find no other choice than to move back home with their parents. In

